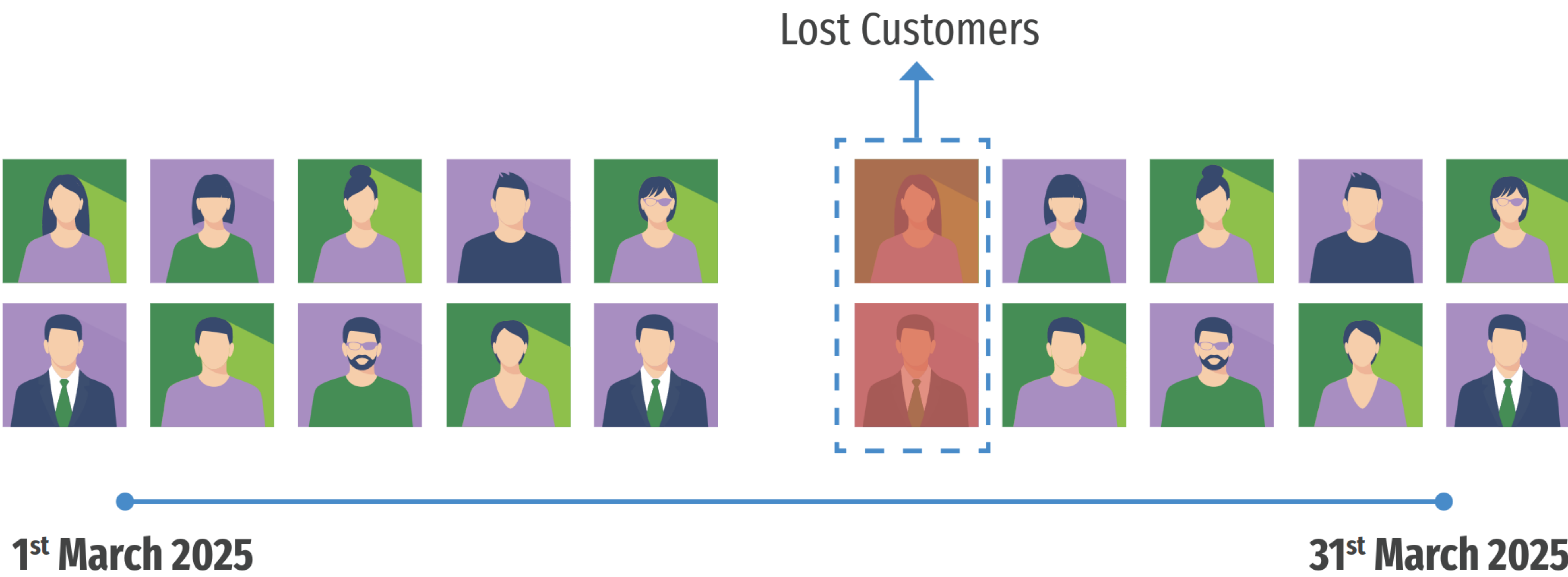


Churn Rate

The churn rate, also sometimes known as the attrition rate, is a measure of how many customers are leaving your business over a certain period.



$$\begin{aligned}\text{Churn Rate} &= \frac{\text{No. of Customers Lost}}{\text{Total Customers}} \\ &= \frac{2}{10} \times 100 \\ &= 20\%\end{aligned}$$

Monthly Burn

Monthly burn is a metric used by startups to help understand how much money a startup is spending compared to how much it's making in a month. It's common for startups to have negative cash flow in their early months due to high expenses and lower revenue.

Let's assume a startup generates ₹10,000 in sales but spends ₹15,000 on things like inventory and expenses. The difference, which is ₹5,000, represents the monthly burn. This helps to understand that if they are spending more than they are making, this can lead to financial challenges in the early days.

